

# NVIDIA Corporation

NVDA NASDAQ

|     |                  |                              |                                      |                       |
|-----|------------------|------------------------------|--------------------------------------|-----------------------|
| Buy | \$224.12 ▼ 0.72% | 12M Price Target<br>\$260.00 | 52-Week Range<br>\$164.27 – \$236.54 | Market Cap<br>\$5.41T |
|-----|------------------|------------------------------|--------------------------------------|-----------------------|

## NVDA: Consolidating Near Highs as CoreWeave Signals Insatiable Demand

### WHAT HAPPENED

- NVDA drifted down 0.72% on light volume (44M vs. the usual 130M+) — this isn't real selling, it's just a quiet Tuesday consolidation after last week's run to \$230. The tape is digesting, not breaking.
- CoreWeave's CEO basically said "we can't get enough Nvidia chips" — that's the third major customer this quarter admitting supply is the bottleneck, not demand. Bullish signal, but the market already knows.

### WHY IT MATTERS

The GuruFocus headline about NVDA "finding another way to finance the AI boom" is the real tell here — Nvidia is increasingly acting like a bank for its own ecosystem, backstopping customers like CoreWeave so they can afford to buy more chips. That's a double-edged sword: it juices near-term revenue but concentrates risk on Nvidia's balance sheet if any of these AI-native customers wobble. Director Mark Stevens dumping ~\$144M in stock at \$230+ isn't a red flag on fundamentals (he's been a systematic seller for years), but it does tell you insiders view current prices as fair-to-full, not cheap. With the stock at 83% of its 52-week range and options flow leaning bearish near-term (that 79K put position at \$225 is someone hedging into a potential pullback), I'd expect chop before the next leg up.

### POLICY & POLITICAL WATCH

The single biggest policy variable remains US export controls on China — the Commerce Department is reportedly still weighing whether to further restrict the H20 and successor chips Nvidia designed specifically to comply with prior rules. If Washington tightens again, that's a 10-15% revenue headwind; if the Trump administration cuts a broader trade deal with Beijing (rumored for Q4), NVDA could get a green light and unlock \$15-20B in deferred demand. Also watch the CHIPS Act 2.0 discussions in the Senate — expanded domestic semiconductor incentives would benefit Nvidia's US-based packaging partners (Amkor's \$12B Arizona expansion is in today's headlines for a reason) and de-risk the supply chain.

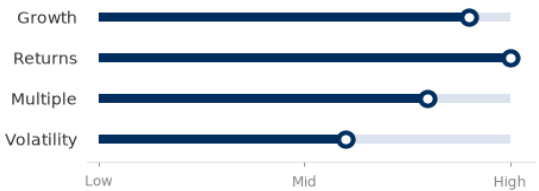
### IS IT EXPENSIVE?

At ~38x forward earnings on a \$5.4T market cap, you're paying \$38 for every \$1 of next year's profit — expensive by market standards but actually reasonable given NVDA is still growing revenue 40-50% with 75%+ gross margins (meaning they keep 75 cents of every dollar of sales before overhead). The stock isn't cheap, but it's not the bubble multiple bears keep claiming — the earnings are real and growing fast enough to justify it, as long as the AI capex cycle doesn't crack.

### Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$224.12 |
| 12M Price Target    | \$260.00 |
| Upside / (Downside) | +16.0%   |
| Market Cap          | \$5.41T  |
| FY2027E Revenue     | \$235M   |
| FY2028E Revenue     | \$295M   |
| FY2027E EPS         | \$5.85   |
| FY2028E EPS         | \$7.40   |
| Fwd P/E             | 38.3x    |

### INVESTMENT PROFILE



### 12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$240.00  | \$228.00  | \$210.00  |
| 6 Months  | \$275.00  | \$250.00  | \$195.00  |
| 1 Year    | \$310.00  | \$260.00  | \$180.00  |
| 2 Years   | \$380.00  | \$300.00  | \$160.00  |
| 5 Years   | \$550.00  | \$400.00  | \$180.00  |
| 10 Years  | \$900.00  | \$600.00  | \$200.00  |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Energy (+0.54%) — quietly the AI power-hungry trade, since data centers need massive electricity. Tech still leads on the 5-day (+2.4%) with AI infrastructure the driver.

**COOLING OFF:** Healthcare (-3% on the week) as rate-cut expectations get pushed out and drug pricing chatter returns. Comm Services soft too.

**ROTATION WATCH:** Money is staying in tech but rotating within — from pure software into physical AI infrastructure (chips, power, cooling, packaging). That's exactly NVDA's neighborhood plus its supply chain.

**RELATED PLAY:** If you believe the AI buildout story, the "second derivative" plays are advanced packaging (Amkor, ASE), power/utilities feeding data centers (Vistra, Constellation), and memory (Micron, SK Hynix) — all riding NVDA's coattails without paying NVDA's multiple.

WHO'S WINNING IN THIS SPACE?

- META (Meta Platforms): Rallied today on renewed AI monetization optimism — reminder that AI capex is being justified by real ad revenue lift, which validates NVDA demand.
- AMKR (Amkor): Advanced packaging expansion news — the picks-and-shovels play FOR the picks-and-shovels play. Their Arizona buildout is largely for Nvidia/TSMC workflows.

**NVDA CONTEXT:** NVDA is consolidating while META and AI-adjacent names run — that's actually healthy. When the leader rests and the ecosystem rallies, it usually means the group has legs. If NVDA were selling off hard while peers ran, I'd worry about a rotation OUT of the king. That's not what's happening.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

**Position Size:** 5-8% of portfolio

**Entry Points:** \$210-218 on pullbacks

**Time Horizon:** 12-24 months

**Thesis Invalidation:** Hyperscaler capex guidance cut >15% or full China GPU ban with no workaround

**Hedging:** Long-dated puts or pair with short on a pricier AI-adjacent name like a small-cap GPU cloud